Not Enough

400M barrels released. Oil surges anyway. Israel hits nuclear sites. S&P –0.84%. Day 13.

MARKETS

THE IEA FIRED ITS BIGGEST GUN. OIL DIDN'T FLINCH. The IEA unanimously approved its largest-ever reserve release—400 million barrels over 90 days, more than double the 2022 Ukraine response. Germany, Japan, Austria, South Korea, UK, and France all committed. Trump said he'd tap the SPR a little bit. And yet: USO +7.04%, BNO +7.49% this morning. WTI is back above $90, Brent approaching $95. The market is telling you 400M barrels—just 20 days of Hormuz flow—is not enough while the Strait stays closed.

S&P –0.84%, Dow –1.15%, Nasdaq –0.78%, Russell –1.72%. UVXY +7.09%. Every sector red except energy (+0.42%). Financials (–1.33%), industrials (–1.10%), and discretionary (–1.06%) leading losses. TLT –0.34%—bonds continuing to sell as yields rise on inflation fears. The market is now pricing in a sustained oil shock, not a transient one.

The escalation overnight: Israel targeted sites used in Iran's nuclear programme. This is the first confirmed strike on nuclear infrastructure since the war began—a significant escalation. Up to 3.2 million people have been displaced inside Iran, per the UN. Trump told the NYT the US and Israel are preparing for at least two more weeks of strikes. He added, any time I want it to end, it will end.

Wednesday's session was deceptively flat: S&P –0.08%, Nasdaq +0.08%. But Oracle surged 13% on blowout earnings ($90B FY27 guidance). Energy was the best sector (+2.48%). The Nasdaq was held up entirely by Oracle and a handful of AI names. Breadth was terrible—only 200 of 504 S&P components were green. The EU warned inflation could surpass 3% if Brent stays near $100.

Jobless claims this morning showed a sluggish but stable labor market. Not deteriorating further from the 92K jobs lost in February—but not recovering either. The Fed is in a box: oil inflation says don't cut, labor weakness says cut. Next week's FOMC meeting will be the test.

IOWN Tactical: S&P at ~6,755 (SPY $670.68). Down ~12% from January highs. Approaching –15% drawdown territory. Our –20% buy trigger is at ~5,500—still 18% below current levels. The IEA release buys 90 days of breathing room, but if the Strait isn't reopened by June, reserves run dry and oil goes to $120+ again. The clock is ticking.

IOWN HOLDINGS: THE SESSION

ENERGY NAMES ARE THE ONLY GREEN. Top 5: GFI +1.86% ($51.53)—gold miners as inflation hedge. FINV +0.94% ($5.39). VLO +0.75% ($232.79)—refiners catching the oil bid. CNX +0.49% ($40.96), CVX +0.37% ($192.50). The winners are all energy and commodity names. This is the stagflation trade in action.

The carnage elsewhere: STLD –2.50% ($179.65)—steel crushed by tariffs + energy input costs. SYF –2.71% ($63.44)—consumer finance repricing for a spending slowdown. SUPV –2.70% ($9.00)—gave back yesterday's 4.87% gain. HRMY –2.54% ($28.06), HUT –3.15% ($49.51)—crypto miners selling as BTC failed to hold $70K.

Semis broadly weak: ADI –2.05%, LRCX –2.27%, AMD –1.53%, NVDA –1.06%, TSM –2.37%. The AI infrastructure thesis is still intact (Oracle's 13% surge proves it), but the macro overhang from oil is too heavy. Even GTC next week may not be enough to offset $95 Brent.

Defense held: LMT +0.24% ($651.03). GD –0.49%—slight fade but outperforming the tape. CAT –2.10% ($692.71)—now down $55 from its recent high. Every cyclical is repricing for slower global growth.

Benchmarks: DVY –0.77%, IWS –0.98%, IUSG –0.90%. All three down. Growth no longer outperforming—the broad selloff is catching everything except energy and gold. The market is entering indiscriminate selling mode. Simplicity Over Complexity—hold quality, don't chase.

DIGITAL ASSETS

BTC $70,026 (–0.86% 24h). ETH $2,054 (–0.31% 24h). Holding $70K but the safe-haven momentum from Monday has stalled. IBIT –0.82% ($39.74), ETHA –1.02% ($15.53). The crypto rally needs a fresh catalyst—the IEA release was supposed to be it, but oil surging anyway has dampened risk appetite across the board.

Fear & Greed at 18—still deep Extreme Fear. BTC dominance 56.8%, total crypto market cap $2.47T. The 7-day returns tell the story: BTC –3.94%, ETH –3.91%. After the $120 oil shock and Monday's safe-haven surge, crypto is consolidating. The GENIUS Act and GTC next week are the next potential catalysts.

GEOPOLITICS

DAY 13. ISRAEL STRIKES NUCLEAR SITES. This is the most significant escalation since the war began. Israel targeted facilities used in Iran's nuclear programme—the stated casus belli for the entire operation. 3.2 million displaced inside Iran (UN estimate). Iran says it will target US-Israeli economic and banking interests in the region. Russia's Rosatom says it will stay in Iran despite the war.

The IEA release (400M barrels) provides a 90-day window. Macron called it 20 days of Hormuz volume. Goldman estimates it offsets 12 days of the 15.4M bpd disruption. The math is simple: if the Strait doesn't reopen in 90 days, the world runs out of reserve buffer. The US Navy cleared 16 minelayers but Iran is still deploying drones and projectiles—three ships struck yesterday.

Trump says the campaign will continue for at least two more weeks. An analyst at Marex: this conflict needs to end by end of this week. Otherwise we'll see oil back over $100. Global LNG supply has been reduced 20%. India's rupee is under pressure ($12B deployed to defend it). China set its lowest GDP target since the 1990s.

ON OUR RADAR

1. Oil surging through the IEA release is the week's most bearish signal. 400M barrels—the largest ever—and WTI is +7%. The market is pricing the Strait staying closed for months, not weeks. If Energy Secretary Wright's weeks timeline is wrong, $100+ oil becomes the base case and stagflation is here.

2. Israel hitting nuclear sites changes the risk calculus. This was the stated objective of Operation Epic Fury. If nuclear sites are being destroyed, the military endgame may be closer. But it also risks the most extreme Iranian retaliation. Watch for any response targeting Gulf oil infrastructure directly.

3. Our energy sleeve is the portfolio's outperformer now. VLO +0.75%, CVX +0.37%, CNX +0.49%, OKE +0.15%. These are the only green names alongside gold (GFI +1.86%). The rest of the portfolio is bleeding. Energy and gold are doing exactly what they're supposed to do in a supply shock—hedging the downside. Avoid Erosion.

4. GTC next Monday—4 days away. NVDA –1.06% is selling with the tape, but the AI capex narrative (AVGO $100B, Oracle $90B guidance) is structural. GTC is historically NVDA's biggest catalyst of the year. If Jensen delivers, semis could decouple from the oil trade. Our NVDA, AMD, LRCX, TSM positions are positioned for this.

5. The 90-day clock is now ticking. The IEA reserve release gives the world 90 days before the buffer runs out. That puts the deadline at early June. If the Strait isn't open by then, we're in a structural energy crisis. Our tactical framework: watch for S&P –20% from ATH (~5,500) for the first tranche buy signal.

6. FOMC next week. The Fed is trapped between oil inflation and labor weakness. Market pricing: zero cuts in March, maybe one by September. If the Fed signals it's willing to look through oil-driven inflation to support the labor market, that's bullish for growth stocks and crypto. If hawkish, the selloff deepens.

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